

MAR Surveillance False Positive Surge

Problem

A rule change increases spoofing alerts by 300% in one week.

Regulatory Requirements

Market Abuse Regulation, STR obligations.

Options Considered

A: Disable rule. B: Increase threshold. C: Tune rule after sample investigation.

Decision

Tune rule after sample investigation.

Reasoning

Investigation evidence is needed before changing surveillance controls.

Risks

Missed abuse, compliance workload, reporting delays.